BofA SECURITIES

Sea Limited

Business momentum stable; Largely rational competition helps + 3Q preview

Reiterate Rating: BUY | PO: 130.00 USD | Price: 100.73 USD

Competition stable in e-com; Reinvestments continue

Our recent industry checks indicate that competition remains largely stable for Shopee. While Shopee is benefiting from improving commissions and increase in ad-rates, it is reinvesting a large part of these gains. In SE Asia, in the recent past, TTS raised take-rates and Shopee followed: perhaps implying a bit more focus towards profitability (though sustainably is currently unknown). Brazil remains the fastest growing market for Shopee. We expect the company to continue to gain market share in 3Q and maintain its positive EBITDA. In Taiwan, Shopee is investing in 1P & lockers/logistics.

Fintech momentum stable; Gaming not a stock driver...

Monee has not shown any NPL increase till 2Q, and we expect these stable trends to continue. Risk management remains a priority for Monee, and they are balancing growth with stable NPLs. Indonesia remains the biggest market for Monee with 1/3rd of lending book still driven by Indonesia. For **Gaming**, while Phase 3 of Naruto collaboration is expected in 3Q, we don't expect the gaming segment revenues to be as strong as were witnessed in Phase 1 and 2 as it's a relaunch this time. We don't consider gaming to be the key driver for the stock given limited diversification.

Preview: Forex impacts GMV growth; E-com margins fine

For 3Q, we expect Sea's revenue momentum to be stable across all its businesses and expect slight uptake in e-com margins, given stable competition. In e-com, we expect GMV growth of 23% YoY (vs 29% in 2Q). The qoq slower growth is largely due to currency depreciation and base-effect. Like last 2 quarters, we expect e-com EBITDA margins to inch up slightly to 0.71% in 3Q, despite re-investments. For Monee, we model healthy topline growth of 56% YoY and stable risks despite soft macro. We expect EBITDA margins to decline 1pps QoQ to 19.5% due to higher S&M and fluctuations in interest yields, driven by mix. For Gaming, we expect 3Q bookings/revenue to increase 15%/11% QoQ & EBITDA margin of 56.4% (+10bps qoq). We cut our EPS est. by 1.2-1.5% to factor forex impact. We also reduce our FY27 target EBITDA multiple of gaming/Shopee to 10X/18X (from 12X/20X) due to peer multiple de-rating. As a result, our SOTP based PO reduces by 9% to $130. Reiterate Buy on favorable risk-reward.

Estimates (Dec) (US$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	609	1,582	2,020	2,819	3,952
EPS	1.02	2.47	3.07	4.19	5.91
EPS Change (YoY)	276.7%	143.0%	24.2%	36.5%	40.9%
Consensus EPS (Visible Alpha)			3.02	4.21	5.59
Free Cash Flow / Share	4.31	6.73	10.26	4.53	6.76
Valuation (Dec)					
P/E	99.00x	40.74x	32.81x	24.03x	17.05x
EV / EBITDA*	59.02x	25.16x	18.90x	13.57x	9.80x
Free Cash Flow Yield*	3.88%	6.46%	10.02%	4.50%	6.71%

* For full definitions of *iQmethod℠* measures, see page 10.

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Refer to important disclosures on page 11 to 13. Analyst Certification on page 7. Price Objective Basis/Risk on page 7. 13021253

Timestamp: 25 September 2026 07:29AM EDT

25 September 2026

Equity

Key Changes

(US$)	Previous	Current
Price Obj.	143.00	130.00
2026E EPS	3.12	3.07
2027E EPS	4.25	4.19
2028E EPS	5.98	5.91

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Stock Data

Price	100.73 USD
Price Objective	130.00 USD
Date Established	25-Sep-2026
Investment Opinion	C-1-9
52-Week Range	77.05 USD-193.48 USD
Mrkt Val / Shares Out (mn)	66,482 USD / 660.0
Average Daily Value (mn)	368.02 USD
Free Float	62.6%
BofA Ticker / Exchange	SE / NYS
Bloomberg / Reuters	SE US / SE.N
ROE (2026E)	14.9%
Net Dbt to Eqty (Dec-2025A)	-18.89%

Shopee & Monee are Sea's e-commerce & Fintech businesses

See glossary at the end of report

iQprofile℠ Sea Limited

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(US$ Millions)					
Sales	16,820	22,938	32,778	40,761	48,289
Gross Profit	7,155	10,092	14,767	18,408	21,716
Sell General & Admin Expense	(5,468)	(7,070)	(10,637)	(12,786)	(14,318)
Operating Profit	662	1,985	2,940	4,169	5,896
Net Interest & Other Income	117	296	235	220	234
Associates	0	0	0	0	0
Pretax Income	779	2,281	3,174	4,389	6,131
Tax (expense) / Benefit	(321)	(651)	(1,095)	(1,536)	(2,146)
Net Income (Adjusted)	609	1,582	2,020	2,819	3,952
Average Fully Diluted Shares Outstanding	598	638	649	660	660
Key Cash Flow Statement Data					
Net Income	448	1,611	2,017	2,791	3,923
Depreciation & Amortization	402	512	385	461	517
Change in Working Capital	(2,356)	(1,474)	4,076	(651)	(796)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	4,783	4,376	1,077	1,304	1,662
Cash Flow from Operations	3,277	5,025	7,555	3,904	5,306
Capital Expenditure	(698)	(732)	(893)	(913)	(844)
(Acquisition) / Disposal of Investments	0	0	0	0	0
Other Cash Inflow / (Outflow)	(4,343)	(3,677)	177	199	214
Cash Flow from Investing	(5,041)	(4,409)	(716)	(714)	(630)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	0	0	0	0	0
Cash Flow from Financing	1,684	1,623	50	50	50
Free Cash Flow	2,579	4,293	6,663	2,992	4,462
Net Debt	308	(2,389)	(9,228)	(12,419)	(17,095)
Change in Net Debt	(1,058)	(2,697)	(6,839)	(3,191)	(4,676)
Key Balance Sheet Data					
Property, Plant & Equipment	2,152	2,732	2,183	2,557	2,794
Other Non-Current Assets	3,615	3,389	3,583	3,661	3,751
Trade Receivables	NA	NA	NA	NA	NA
Cash & Equivalents	2,405	4,159	11,048	14,289	19,015
Other Current Assets	14,453	19,091	14,437	17,940	21,235
Total Assets	22,625	29,371	31,252	38,447	46,795
Long-Term Debt	2,282	1,119	1,169	1,219	1,269
Other Non-Current Liabilities	599	953	1,307	2,803	4,671
Short-Term Debt	431	651	651	651	651
Other Current Liabilities	10,865	14,029	13,452	16,304	18,803
Total Liabilities	14,178	16,753	16,579	20,977	25,394
Total Equity	8,478	12,648	14,672	17,470	21,400
Total Equity & Liabilities	22,655	29,401	31,252	38,447	46,795
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	5.3%	12.2%	12.7%	14.5%	16.1%
Return On Equity	8.1%	15.1%	14.9%	17.7%	20.5%
Operating Margin	3.9%	8.7%	9.0%	10.2%	12.2%
EBITDA Margin	6.3%	10.9%	10.1%	11.4%	13.3%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	5.4x	3.2x	3.7x	1.4x	1.3x
Asset Replacement Ratio	1.7x	1.4x	2.3x	2.0x	1.6x
Tax Rate (Reported)	41.2%	28.5%	34.5%	35.0%	35.0%
Net Debt-to-Equity Ratio	3.6%	-18.9%	-62.9%	-71.1%	-79.9%
Interest Cover	22.0x	NM	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 10.

Company Sector

Internet/e-Commerce

Company Description

Sea Limited is a mobile and PC gaming platform and developer (Garena) and an e-commerce marketplace operator (Shopee) in ASEAN, Taiwan and Brazil. Its first self-developed game, "Free Fire," has a global user base. Sea also runs a digital payments platform supporting the two businesses (Monee). Sea Ltd is headquartered in Singapore and was founded in 2009.

Investment Rationale

We have a Buy rating on Sea Limited. In our view, it is best positioned in our coverage to ride the e-commerce boom in Southeast Asia given its increasingly dominant online marketplace (Shopee), while its expansion into Brazil/LatAm offers further substantial growth upside potential in long term. Free Fire is likely to show steady growth, led by expansion in emerging markets and future potential collaborations. In Fintech, Sea is expanding offering from on-Shopee to off-Shopee and secured loans.

Stock Data

Price to Book Value	4.6x

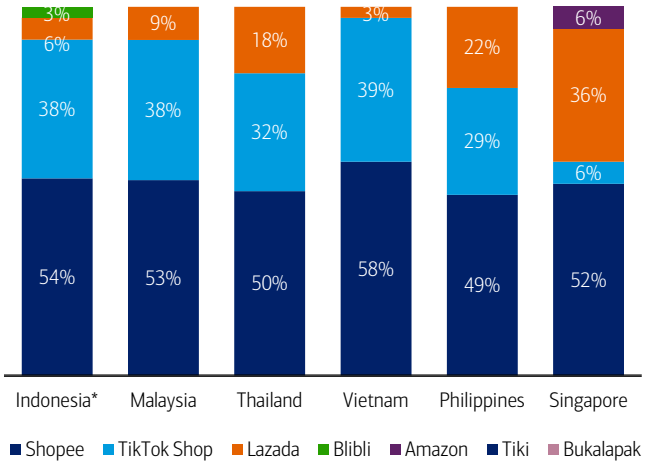
Sea: Business momentum stable in 3Q

E-commerce

Our recent industry checks indicate that competition remains largely stable for all 8 e-commerce markets for Shopee. We expect Shopee to report another stable quarter with good GMV growth and stable to slight uptake in margins. While Shopee is benefiting from improving commissions and increase in ad-rates, it is reinvesting a large part of these gains in fulfillment, live-commerce and VIP program.

- **SE Asia**: Competition in SE Asia while intense, remains stable. Historically Shopee raises take-rate and TTS follows. But in the recent past, TTS raised take-rates and Shopee followed – perhaps implying a bit more focus towards profitability (though sustainably is unknown currently). On a relative basis, competition is higher in Thailand, Vietnam and Philippines. In 2Q, SE Asia as a region was at breakeven in SE Asia – although not all markets had linear improvement in margin profile.
- **Taiwan**: Shopee continues to invest in Taiwan (as it had historically under-invested). The key focus investment areas for Shopee in the market are unmanned lockers, last mile delivery and 1P infrastructure. In Taiwan, while 1P is sizeable, we believe a larger part of the e-com market would be 3P given the fragmented nature of the market. Shopee is improving its 1P assortments and doing same day doorstep delivery in select areas. We consider the investments made by Shopee to be defensive in nature (to protect market share loss to Coupang) and have an impact on margins. Refer: Shopee vs Coupang: Analyzing strategies in Taiwan
- **Brazil** remains the fastest growing market for Shopee. We expect the company to continue to gain market share in 3Q and maintain its positive EBITDA (will be the 9th quarter in a row). The company has a strong value proposition in terms of attractive pricing, wider assortment and lower cost to serve. Recently the company increased its commissions in the market. Even after adjustment the take-rates for Shopee is closer to its peers in Brazil. Shopee has ambitions of being a strong No. 2 in the market and is making continued investments in warehousing and logistics. Refer: Shopee Brazil: Latest retail checks on competition, logistics & fintech offerings

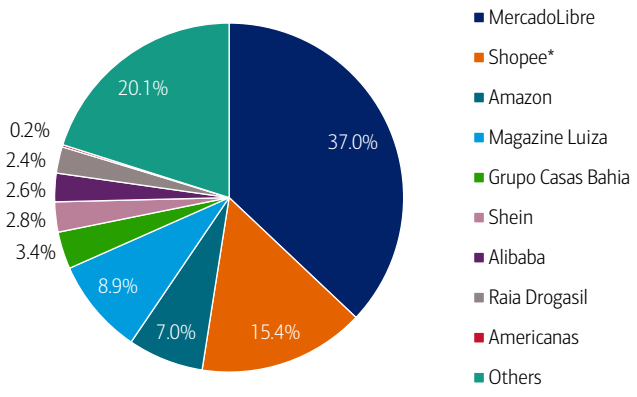
Exhibit 1: Shopee the largest eCom platform across SE Asia
Player-wise e-commerce GMV based market shares – CY 2025



Source: Momentum Works, *Indonesia includes TikTok Shop & Tokopedia taken as 1 entity

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Exhibit 2: Still room for Shopee to continue growing market share
Brazil eCommerce market share – CY 2025



Source: Euromonitor, eBit, IBGE, Company filings, BofA Global Research

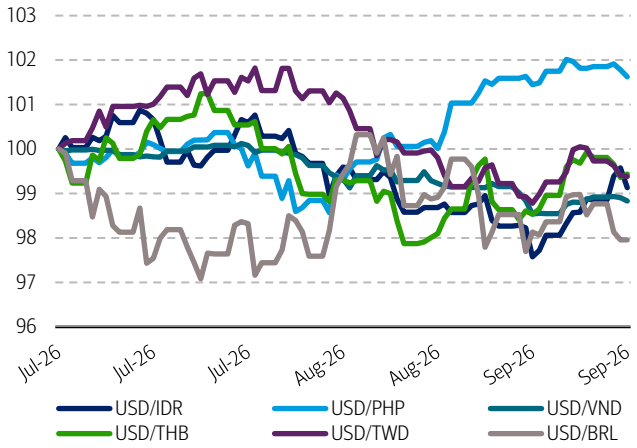
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Regulations & macro: No impact yet: Our checks indicate that slower macro has not impacted Shopee's momentum. Although the currency moves are leading to translational headwinds on GMV growth. Potential regulations to watch out for include: 1) any caps on

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commissions in Thailand; 2) gig-economy regulations for SE Asia. Currently we don't see any material adverse regulations.

Exhibit 3: FX remains volatile across Shopee's key markets
Spot USD cross-rates in key Shopee markets, indexed to 1 Jul 2026 = 100



Source: Bloomberg

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Exhibit 4: Regulation tightening, but nothing materially adverse yet
Key potential regulations to watch out for in SE Asia

Country	Key regulations in SE Asia
Thailand	Aug'26, trade/Association discussed potentially excessive platform fees/unfair marketplace practices; Some policymakers suggested fee range of 10-15%
Malaysia	Gig economy regulation: Malaysia Gig Workers Act 2026 provisions: mandatory social-security, transparency, consultative framework for minimum earnings etc
Vietnam	e-Com Law from Jul'26 onwards: platform tax with-holding, KOL & affiliate regulation, mandatory published policies on pricing, payment, delivery, returns etc
Indonesia	Permendag 19/2026 (Jun'26): mandatory business IDs for all sellers, tighter cross-border seller rules, restrictions on self-preferencing in product ranking etc

Source: BofA Global Research.

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Medium term margin driver: For the next 12 months, we expect ad rate improvement and not commission increase to be the primary margin driver. In our view, commissions have already shown a sharp uptake YTD (better than our expectations). With a softer macro, we don't expect e-com platforms to continue to inch-up commissions. Shopee's ad penetration remains low, and we expect gradual improvement of Shopee ad rates from 3% of GMV to 4-5% over the next 18-24 months.

Exhibit 5: Take-rates vary widely: Brazil the highest, Taiwan the lowest
Shopee's (Marketplace) current Take-Rate across markets

Country	Commission fee	Transaction fee	Other fee[1]	Total take-rate
Indonesia	4.62% – 10.00%	IDR 1,250 per transaction	1.80% + 8.50%	(14.93% – 20.30%) + IDR 1,250
Malaysia	5.75% – 16.41%	MYR 0.54 per transaction	3.78%	(9.84% – 20.49%) + MYR 0.54
Philippines	9.50% – 10.12%	PHP 5 per transaction	1.06% + 2.24%	(12.80% – 13.43%) + PHP 5
Singapore	7.43% – 11.79%		3.27%	10.70% – 15.06%
Thailand	9.77% – 14.18%	THB 1 per transaction	3.00%	(12.77% – 17.18%) + THB 1
Vietnam	8.38% – 19.18%	VND 3,000 per transaction	6.00%	(14.38% – 25.18%) + VND 3,000
Brazil	17.00%	BRL 4 per transaction	2.00%	19.00% + BRL 4
Taiwan	4.50% – 6.50%		5.50%	10.00% – 12.00%

Source: Cube, 1) Optional fees, such as those for free shipping or cashback campaigns, are not included.

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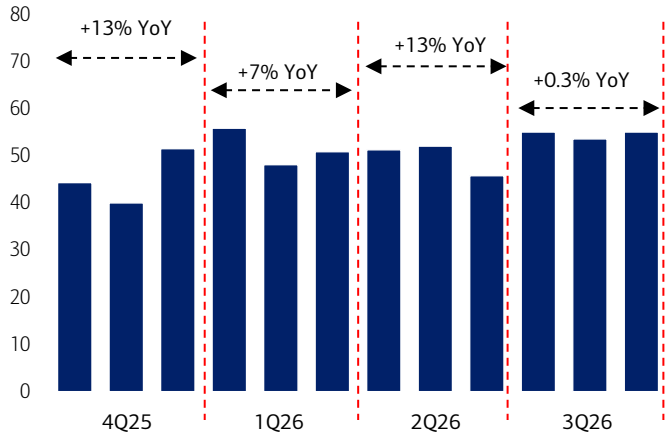
Monee & Gaming

- **Monee** has not shown any NPL increase till 2Q and we expect these stable trends to continue. Risk management remains a priority for Monee, and they are balancing growth with stable NPLs. Indonesia remains the biggest market for Monee with 1/3rd of lending book still driven by Indonesia. For 3Q, we expect Monee to report another strong 56% yoy revenue growth but expect EBITDA margins to decline 100 bps qoq to 19.5%. We remain optimistic on the Fintech businesses in SE Asia. Refer: Fintechs at inflexion point: A deep dive on Sea, Grab & GoTo's Fintech business
- **Gaming:** While phase 3 Naruto collaboration is expected in 3Q, we don't expect the gaming revenues to be as strong as witnessed in phase 1 and 2 as it's a relaunch

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this time. High frequency data like Sensor Tower indicates stable momentum. We don't consider gaming to be the key driver for the stock given limited diversification from Free Fire. Refer our Asia gaming deep-dive note: Asia Gaming: Playing the new growth cycle in the AI world...

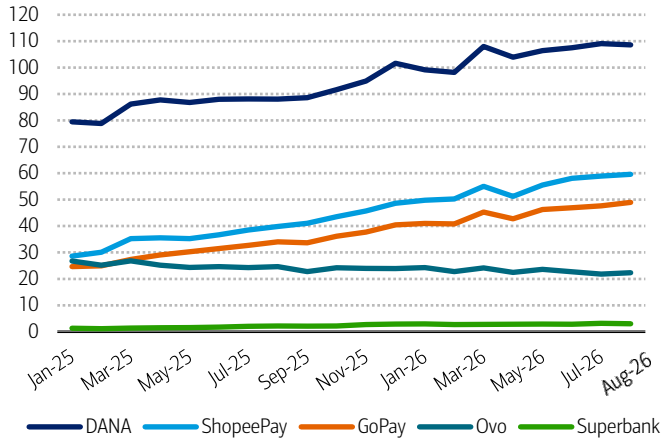
Exhibit 6: Free Fire YoY growth decelerates to flat in 3Q26
Free Fire monthly in-app revenue per Sensor Tower ($mn)



Source: Sensor Tower, BofA Global Research

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Exhibit 7: MAUs of key fintech apps in SE Asia
Monthly active users per Sensor Tower (mn)



Source: Sensor Tower

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3Q preview

We expect Sea's revenue momentum to be stable across all its businesses and expect slight uptake in e-com margins given stable competition. In e-com, we expect GMV growth of 23% YoY (vs 29% in 2Q). The qoq slower growth is largely due to currency depreciation and base-effect. We expect take-rate to inch up by 40bps qoq to 15% led by higher commissions & ad rates, partly offset by logistics vouchers. Like the last 2 quarters, we expect e-com EBITDA margins to inch up slightly to 0.71% in 3Q despite reinvestments. For Monee, we model healthy topline growth of 56% YoY and stable risks despite soft macro. We expect EBITDA margins to decline 1 pps QoQ to 19.5% due to higher S&M and fluctuations in interest yields, driven by mix. For Gaming, we expect 3Q bookings to increase by 15% QoQ & EBITDA margin of 56.4% (+10bps qoq).

Exhibit 8: We model 40% revenue growth with margins inching up
Sea 3Q preview estimates: key financials

$mn	3Q25	2Q26	3Q26E	QoQ	YoY
- Digital entertainment (Garena)	653	747	829	11%	27%
- E-commerce (Shopee)	4,295	5,588	5,940	6%	38%
- Monee & others	1,038	1,454	1,599	10%	54%
Total revenues	**5,986**	**7,788**	**8,368**	**7%**	**40%**
Gross profit	2,599	3,550	3,859	9%	48%
Gross margin	43.4%	45.6%	46.1%	0.5pps	2.7pps
Total adj. EBITDA	**874**	**917**	**1,021**	**11%**	**17%**
Adj EBITDA margins	14.6%	11.8%	12.2%	0.4pps	-2.4pps
Operating income/ (loss)	476	650	765	18%	61%
Net Income	**372**	**441**	**514**	**17%**	**38%**

Source: BofA Global Research estimates, company report

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Exhibit 9: Shopee margins at 0.7%; See QoQ dip in Monee margins
Sea 3Q preview estimates: business-level KPIs

$mn	3Q25	2Q26	3Q26E	QoQ	YoY
Shopee					
Gross Merchandise Value	32,200	38,300	39,598	3%	23%
% Take rate	13.3%	14.6%	15.0%		
Adjusted EBITDA (Shopee)	186	255	279	9%	50%
% Margin (GMV)	0.58%	0.67%	0.71%		
Garena					
Bookings	841	764	879	15%	5%
Adjusted EBITDA (Garena)	466	430	496	15%	6%
% Margin	55.4%	56.3%	56.4%		
Monee					
GAAP Revenue (Monee)	990	1,403	1,547	10%	56%
Adjusted EBITDA (Monee)	258	288	302	5%	17%
% Margin	26.1%	20.5%	19.5%		

Source: BofA Global Research estimates, company report

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Glossary

FF: Free Fire - Garena's flagship self-developed title
TTS: TikTok Shop
GMV: Gross merchandise value
1P / 3P: First-party (own inventory) / third-party (marketplace) retail
MAU: Monthly active users
NPL / NPA: Non-performing loan / non-performing asset
DFS: Digital financial services
S&M: Sales and marketing expense
SG&A: Selling, general and administrative expense
Permendag: Peraturan Menteri Perdagangan — Indonesian Minister of Trade Regulation
KOL / KOC: Key opinion leader / key opinion consumer (influencer-led selling)

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Price objective basis & risk

Sea Limited (SE)
Our PO of US$130 is based on a sum-of-the-parts valuation. We value Garena's gaming business at US$29 per share or 10x 2027E EV/EBITDA, slightly lower than global peers trading at 13x. We believe the discount is warranted given Sea's over-dependence on one game that contributes to c.80%+ of EBITDA.

The Shopee business is valued at US$47 per share based on 18x 2027E EV/EBITDA, a premium to global e-commerce companies' multiple of 11x but a discount to India consumer tech companies' multiple of 40x. This, in our view, fairly reflects Shopee's growth, dominant position in a competitive market, and optionality in Brazil.

We value its Digital Financial services business, including Digital Banking, at US$37 per share, using EV/IC & EV/adj. EBITDA multiples. We use 1X EV/IC for digi-banks & 15X EV/adj. EBITDA for DFS business, lower than the global peer average of 18x, given lower comfort on lending book currently.

We also adjust for the net cash per share and minority, which comes to US$16 per share.

Upside risks: 1) Faster-than-expected revenue growth with profitability, 2) good traction of more self-developed games, 3) declining competitive intensity and better positioning in e-com business.

Downside risks: 1) Chinese e-com competitors better leveraging AI versus Shopee helping them gain share at expense of Shopee, 2) rising NPA risks at the Fintech business, 3) higher competitive intensity in e-commerce leading to lower margin uptake

Analyst Certification

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APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
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	Alibaba Group	BABA	BABA US	Joyce Ju
	Alibaba Group	BABAF	9988 HK	Joyce Ju
	Alibaba Health	ALBHF	241 HK	Miranda Zhuang, CFA
	Baidu.com	BIDU	BIDU US	Miranda Zhuang, CFA
	Baidu.com	BAIDF	9888 HK	Miranda Zhuang, CFA
	Bilibili	BILI	BILI US	Alex Liu
	Bilibili	BLBLF	9626 HK	Alex Liu
	CAR Group	CRSLF	CAR AU	Sriharsh Singh
	Coupang	CPNG	CPNG US	Ahyung Cho
	Damai Entertainment	ABPGF	1060 HK	Harry Zhuang
	Delhivery	XDVLF	DELHIVER IN	Sachin Salgaonkar
	East Money	XEQTF	300059 CH	Michael Li
	Eternal	XMWRF	ETERNAL IN	Sachin Salgaonkar
	Grab Holdings	GRAB	GRAB US	Sachin Salgaonkar
	HYBE	XBGOF	352820 KS	Sun Jung Lee
	Ixigo (Le Travenues)	XIXIF	IXIGO IN	Pankaj Mehendiratta
	JD Health	JDHIF	6618 HK	Miranda Zhuang, CFA
	JD Industrials	XJIIF	7618 HK	Miranda Zhuang, CFA
	JD.com	JD	JD US	Joyce Ju
	JD.com	JDCMF	9618 HK	Joyce Ju
	KE Holdings	BEKE	BEKE US	Miranda Zhuang, CFA
	KE Holdings	XSQRF	2423 HK	Miranda Zhuang, CFA
	Kingdee International Software	KGDEF	268 HK	Daley Li, CFA
	Kingsoft Cloud	KC	KC US	Daley Li, CFA
	Kingsoft Cloud	KCLHF	3896 HK	Daley Li, CFA
	Kingsoft Office	XBKOF	688111 CH	Daley Li, CFA
	Krafton	XKINF	259960 KS	Jinhan Chun
	Kuaishou	KUASF	1024 HK	Miranda Zhuang, CFA
	Life360	LIFX	360 AU	Sriharsh Singh
	Makemytrip Limited	MMYT	MMYT US	Sachin Salgaonkar
	Meitu Inc.	MEIUF	1357 HK	Harry Zhuang
	MiniMax	MNMXF	100 HK	Alex Liu
	NAVER Corporation	NHNCF	035420 KS	Ahyung Cho
	NetEase	NETTF	9999 HK	Alex Liu
	NetEase, Inc	NTES	NTES US	Alex Liu
	Paytm	XUXBF	PAYTM IN	Sachin Salgaonkar

APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Plan B Media PCL	XMKTF	PLANB TB	Suppapong Iemkongaek, CFA, CMT
	Sea Limited	SE	SE US	Sachin Salgaonkar
	Seek Limited	SKLTF	SEK AU	Sriharsh Singh
	Tencent Holdings	TCTZF	700 HK	Alex Liu
	The ONE Enterprise	XUFCF	ONEE TB	Suppapong Iemkongaek, CFA, CMT
	Tongcheng Travel	TNGCF	780 HK	Joyce Ju
	Trip.com Group	TCOM	TCOM US	Joyce Ju
	Trip.com Group	TRPCF	9961 HK	Joyce Ju
	TUHU Car	XTCRF	9690 HK	Miranda Zhuang, CFA
	Vipshop Holdings	VIPS	VIPS US	Joyce Ju
	Xero Limited	XROLF	XRO AU	Sriharsh Singh
	Z.AI Co., Ltd	KATJF	2513 HK	Alex Liu
	Zip Co Limited	ZIZTF	ZIP AU	Ware Kuo
NEUTRAL				
	Chinasoft International	CFTLF	354 HK	Daley Li, CFA
	Hundsun Technologies	XYTGF	600570 CH	Daley Li, CFA
	Info Edge	IFOEF	INFOE IN	Sachin Salgaonkar
	JYP Entertainment	ALNNF	035900 KS	Sun Jung Lee
	Kakao Corp.	DAUCF	035720 KS	Ahyung Cho
	Kanzhun Ltd.	XKLRF	2076 HK	Miranda Zhuang, CFA
	Kanzhun Ltd.	BZ	BZ US	Miranda Zhuang, CFA
	Kingsoft Corporation	KSFTF	3888 HK	Daley Li, CFA
	Maoyan Entertainment	MAOFF	1896 HK	Harry Zhuang
	Meesho	XMEEF	MEESHO IN	Sachin Salgaonkar
	Meituan	MPNGF	3690 HK	Joyce Ju
	NC	NCSCF	036570 KS	Jinhan Chun
	Nykaa	XQQGF	NYKAA IN	Sachin Salgaonkar
	PB Fintech	XPFXF	POLICYBZ IN	Sachin Salgaonkar
	Pinduoduo Inc.	PDD	PDD US	Joyce Ju
	REA Group	RPGRF	REA AU	Sriharsh Singh
	SM Entertainment	SMEZF	041510 KS	Sun Jung Lee
	Swiggy	XPDWF	SWIGGY IN	Sachin Salgaonkar
	Tencent Music	TME	TME US	Alex Liu
	Tencent Music	TCMEF	1698 HK	Alex Liu
	Weimob	WEMXF	2013 HK	Daley Li, CFA
	WiseTech Global Limited	WTCHF	WTC AU	Sriharsh Singh
	YG Entertainment	XYEIF	122870 KS	Sun Jung Lee
	Yonyou Network	XYNIF	600588 CH	Daley Li, CFA
UNDERPERFORM				
	Autohome	ATHM	ATHM US	Miranda Zhuang, CFA
	Autohome	XXYZF	2518 HK	Miranda Zhuang, CFA
	BrainBees Solutions (FirstCry)	XZSQF	FIRSTCRY IN	Sachin Salgaonkar
	DBAPPSecurity	XDBAF	688023 CH	Daley Li, CFA
	Glodon Company	XGCOF	002410 CH	Daley Li, CFA
	GoTo Group	GTOFF	GOTO IJ	Sachin Salgaonkar
	Ming Yuan Cloud	XWTAF	909 HK	Daley Li, CFA
	NavInfo	XWLHF	002405 CH	Daley Li, CFA
	PhysicsWallah	XPWLF	PWL IN	Pankaj Mehendiratta
	Ping An Healthcare and Technology	PANHF	1833 HK	Miranda Zhuang, CFA
	Qi An Xin	XQTDF	688561 CH	Daley Li, CFA
	Technology One Limited	THNOF	TNE AU	Ware Kuo
	ThunderSoft	XSTSF	300496 CH	Daley Li, CFA
	Urban Company	XURBF	URBANCO IN	Sachin Salgaonkar
	Venustech	XVCGF	002439 CH	Daley Li, CFA
	Weibo Corporation	WB	WB US	Miranda Zhuang, CFA
	Weibo Corporation	WEIBF	9898 HK	Miranda Zhuang, CFA

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Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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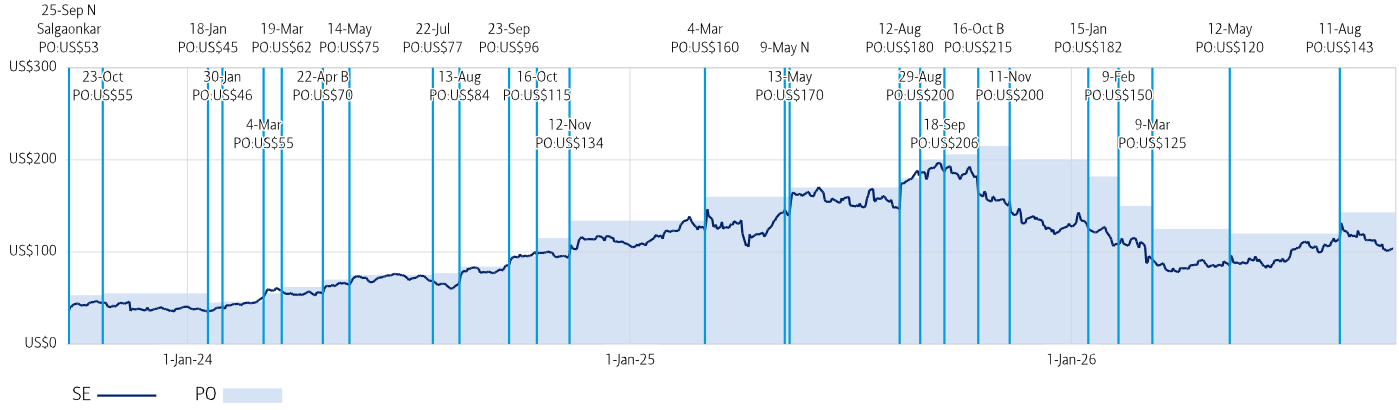
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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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